and J.R.D. Tata among others, asked for both curbs on foreign investment and for an enhanced role for the state. India had once been colonized by a western multinational corporation—having, at last, gained its freedom, it intended to keep it. At the same time, Indian capitalists lacked the capital and knowhow to invest in sectors such as steel, power, roads and ports. They were thus content to focus on the manufacture and distribution of consumer goods, leaving capital goods and infrastructure to the state.

The time to liberalize the Indian economy was the late 1960s. A manufacturing base was now in place; so, too, was a steady supply of skilled technicians and engineering graduates. However, for reasons of political expediency, the prime minister of the day, Mrs Indira Gandhi, chose instead to strengthen the stranglehold of the state over the economy. Key sectors such as coal and petroleum were nationalized. The licensing procedure in sectors still open to the private sector was at once made more arbitrary and more stringent.

Those industrialists who knew how to massage political egos or hand over bribes had an advantage over those who trusted their entrepreneurial abilities alone.

The 1970s was verily the lost decade, in a political as well as economic sense (this was also the decade of the Emergency, of the nurturing of committed judges and bureaucrats, and, on the non-Congress side, of the elevation of street protest over the procedures of democratic deliberation). Government policies became somewhat more business-friendly in the 1980s; and, at last, more market-friendly in the 1990s. The surge in economic growth is a direct consequence of this greater (if also greatly belated) trust placed in the capabilities of the Indian entrepreneur. Along with software, other sectors such as telecommunications, pharmaceuticals, motorized vehicles and air transport have also made impressive strides in recent years.

The reforms of the 1990s were therefore both overdue and necessary. They released the creative energies of the Indian entrepreneur, and thus increased incomes, generated jobs, and produced a ‘multiplier’ effect across